

2026 Comparative Politics Comprehensive Exam

Day 2: Comparative Institutions

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Question

Are institutional constraints on action always necessary for the resolution of social/political/economic problems or for the stability of social/political/economic relations? Consider various reasons given in the literature for the need for institutions. How do institutions come into being? Is it possible to have social cooperation in politics without institutions? Provide empirical examples for different approaches to the emergence and design of institutions

Introduction

In this response, I examine the primary factors determining whether or not social, political, and economic phenomena are most appropriately addressed through institutional constraints or non-institutional alternatives, and how these “solutions” come to exist. To do so, we must first construct a justification *for* institutions as a means of securing cooperation, and then identify the cases under which other solutions may be viable.. The paper proceeds as follows. First, I discuss the primary purposes of institutions in facilitating cooperation, examining the general frameworks which they may be used to solve. Second, I explore how repetition of interactions may provide non-institutional stability under certain conditions (which themselves may be secured by institutions). Third, I consider how existing incentive structures may already be aligned with optimal outcomes, transitioning into a focus on the role of social norms as informal institutions. I conclude by discussing the ever-present philosophical debate between rational-choice-focused “new institutionalists” and their interpretivism-focused dissenters, and consider how our framing of institutions might facilitate a reconciliatory (and intellectually productive) future between these two factions.

I am, both in head and heart, an institutionalist. Yet, I concede that the degree to which institutions are necessary to facilitate the effective operation of society is not uniform. In this response, I intend to characterize a relatively broad literature within institutional theory, and consider the limits of its applicability. If my experience with the preceeding section of this examination has taught me anything, it is that I cannot reasonably hope to discuss every such factor in the coming hours. Instead, I must relegate myself to exploring

them in the coming years and decades.

Institutions and Cooperation

North's (1990*b*) construction of institutions as "the rules of the game" is perhaps one of the most famous definitions in contemporary political science, and for good reason. We can broadly characterize institutions as those influences which shape outcome behavior in a given social setting. We can map two such means of influence from North's characterization: either the rules are unbreakable, in which they ultimately define the action set available, or they are breakable but utility-changing, in which they affect the *utilities* associated with the available action set (and thereby, under a rationalistic framework, the outcome behaviors selected). In either case, the end effect – behavioral alteration – can be achieved, though we will explore the limitations of this definition in our discussion of existing incentive alignment.

Yet, in determining when institutions are necessary, we must examine not only what they *are*, but also what they *do*.¹ Let us first consider North's (1990*b*) characterization of institutions as "reducing transaction costs." Through this framework, institutions exist to counter market² inefficiencies and facilitate lower-cost exchanges of goods, information, and power. There are a variety of ways in which institutions can deliver this efficiency, the first being as an informational structure: institutions provide stability in expectations such that actors can reliably predict the consequences of their behavioral decisions (Mahoney & Thelen 2009). This reduction in uncertainty can prove a valuable asset to efficient market interactions, and can avoid the losses that come with calculated caution (Handley &

¹or ought to do

²This is not merely an economic or trade market, but very well may include a political or policy market

Limão 2015).

Though these above mechanisms invoke clear reductions in transactional costs, at least insofar as “traditional” market exchanges, this conceptualization can be expanded to three further core problems in political science: coordination, collective action, and commitment problems. Each could easily warrant multiple exams’ worth of examination; I instead attempt to provide a quick-yet-definitive characterization of each and the institutional responses therein.

Coordination

A coordination problem involves a scenario whereby actors have multiple equilibria which they can collectively achieve, but face obstacles to deciding which equilibrium³ to target. The canonical example under symmetry is a society’s decision to drive on either side of the road. Presumably, most preferences for one side over the other are relatively weak, but it is clear that all rational members of the society should prefer a uniform decision: either everybody drives on the left, or everybody drives on the right, lest we risk crashes and inefficiency. Here, a reduction in transaction costs (car crashes) can be supported by institutions which either (1) facilitate communication such that an agreed-upon outcome can be decided, or (2) outright impose one of the two equilibria (“all left” or “all right”). Legislative institutions often serve the first purpose (Gandhi & Przeworski 2007), while the second is particularly ripe for political entrepreneurship (Taylor 1990).

Yet, coordination problems need not feature this symmetry, and indeed it is quite frequent within the political sphere for actors to prefer a coordinated outcome, but to

³encompassing both outcome and process

diverge in their preferences *between* coordinated outcomes. A common example is within ideological factions, whereby the meaningful representation of minority groups may require their cooperation, but the terms of that cooperation are not necessarily given.

Credibility Problems

A credibility problem exists when, for whatever reason,

An Evaluatory Framework

Though the above discussions are relatively foundational corners of social science, their inclusion in this response is not merely to demonstrate my knowledge of the literature⁴. Rather, from these characterizations of the problems which institutions solve, we can construct a framework for evaluating whether or not institutional solutions are either necessary or optimal in establishing cooperative outcomes.

Let us again consider North's discussion of "reduced transaction costs." If the role of institutions is to indeed facilitate lower-cost (and therefore more frequent) exchanges and interactions, then a core factor in whether or not a given institutional arrangement is necessary is whether or not it indeed provides lower transaction costs than would exist without it. North himself (1990*b*) examines this as a core evaluatory measure for institutional quality, positing that the effectiveness of an institution or arrangement of institutions can be broadly measured by evaluating its resultant impacts on transaction costs. Indeed, in considering the influence of the factors of institutional development explored in the main sections of this response, a core metric will be whether or not equivalent (or even lower)

⁴Though that's certainly a benefit!

transaction costs can be achieved in their absence.

Yet, we must further examine exactly how we intend to consider transaction costs, for two reasons. First, as North (North 1990*a*) discusses, a subset of institutions may intentionally *increase* some transaction costs. Various restrictions on property rights, for example, may be profitable for those with control over an institutional arrangement, and subsequently raise transaction costs.⁵ Second, it may not always be clear exactly what “altitude” the salient transaction costs are being reduced; that is, we may often need to evaluate a much broader behavioral pathway in order to identify ultimate reduction, especially if the targeted reduction in cost is due to some externality. For example, many regimes place additional sales taxes on alcohol and tobacco products, which surely increases market friction and local costs between those markets’ producers and consumers. Yet, in curbing alcohol and tobacco usage, the state may secure meaningful reductions in healthcare, emergency, and law enforcement expenses, freeing public funds for more productive investment. This *broad* reduction in transaction cost is accordingly achieved through a *localized* increase in transaction costs, but if we are to only consider the local lens, we may improperly evaluate these taxation institutions as ineffective. Similarly, we may find broad improvements in group cooperation achieved through local hindrances, and accordingly must be careful and intentional in considering the subsequent institutional impacts.

This points to a broader challenge in evaluating institutional design: because institutions are not generated randomly (more on that later), at least in their entirety, it can be difficult to determine their actual effects. Przeworski et al (2000) provide an evaluatory

⁵A useful note here, however – because this response is concerned with identifying when cooperation can be achieved with versus without institutions, the inclusion of “malicious” institutions can be almost summarily addressed: the alternative is almost certainly better.

framework based on counterfactuals that allow us to overcome this obstacle, at least in part. Their framework suggests that in order to properly analyze the impacts of institutions, we “must ask what the outcomes would have been if other institutions had been observed under the same conditions” (Przeworski, Alvarez, Cheibub & Limongi 2000). This invites a degree of uncertainty in considering counterfactuals which we (tautologically) cannot observe, but is an important step forward in institutional evaluation nonetheless, and I make every effort to employ this framework in the remainder of this response.

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